

is, where is the market headed and when will it bottom out? “We expect a prolonged consolidation until foreign investors, driven by the market’s attractiveness and India’s robust macroeconomic outlook, resume buying. The Nifty50 may bottom out around 21,500,” says Kranthi Bathini, Equity Strategist at WealthMills Securities.

The 50-share index cracked 14% to 22,124 in five months till February 2025 as against a 26% dip in the previous five-month losing streak in 1996. Amid the ongoing correction, broader indices Nifty Midcap 100 and Nifty Smallcap 250 have entered the bear phase with a dip of 20% and 25%, respectively. A ‘bear’ market refers to a 20%-plus decline from recent peaks.

While downgrading the Nifty’s 12-month target to 25,689 (27,172 earlier) in the base case scenario, brokerage PL Capital expects the markets to remain volatile in the near term but stabilise by December 2025. “The impact of government initiatives and monsoon (normal as per APEC Climate Center South

Korea) will likely start reflecting in improved consumer demand in the second quarter of 2026,” it said during a webinar.

“Markets will likely stabilise by the end of March 2025. Improved economic growth, reduced tariff war activity from the US and a possibly normal monsoon, along with appealing valuations, will boost sentiment from April,” says G. Chokkalingam, Founder of Equinomics Research.

The gross domestic product growth accelerated to 6.15% in the third quarter of FY25 from 5.58% in the previous quarter (Q2FY25). However, it was the second-lowest growth rate in the past eight quarters. The market oscillates between greed and fear, say experts. Manish Bhandari, CEO and Portfolio Manager, Vallum Capital Advisors, says the equity market faced the highest level of fear as the rupee depreciated to a record low and FIIs sold significantly. “Long-term earnings outlook is positive with a growth rate of 15% for the next three years. The government capex,

missing in the first half of FY25, is on a revival path again. These factors will drive markets,” says Bhandari.

The profit after tax growth of BSE 500 companies (ex-OMCs) was 8% in the quarter ended December 2024 as against 9% in the first half ended September 2025 and 21% in FY24, with most sectors—barring BFSI—witnessing a sharp slowdown, according to Nuvama Institutional Equities. “This is because input price tailwinds have faded while the top line remains weak,” it says, adding that consensus suggests 14-16% PAT growth for BSE500 companies in FY26 and FY27. “We think this is likely to disappoint as demand dynamics are still weak, which could erode record-high margins,” says Nuvama.

Asked what investors should do, Chokkalingam says, “In the short term, it is better to zero in on companies focused on domestic demand and import substitutes till rupee and tariff wars stabilise.”

Among sectoral losers, Nifty Media and Nifty Energy index have cracked the most, 35% and 32%, respectively, in the past five months. Nifty Realty, Auto, MNC and FMCG indices have declined more than 20%. Nifty Bank and IT slipped 9% and 11%, respectively.

Bhandari of Vallum Capital Advisors says, “We are in the last leg of a correction in mid- and small-cap indices. Thereafter, we will witness normalisation and flat returns for one year in mid-cap indices. We are bullish on banking, diagnostics and CDMO (Contract Development and Manufacturing Organisation) companies. Earnings are the propeller for these sectors. Most of them have grown at 15-20% in the last nine months and have a competitive advantage.”

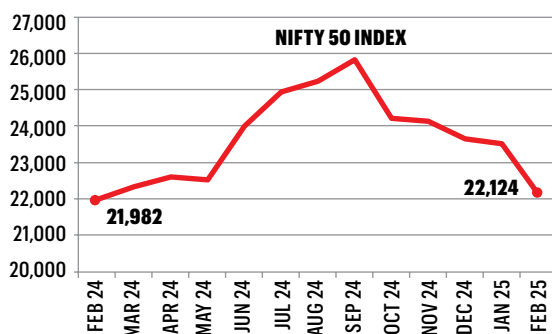
Time will tell whether the bottom is near or some distance away, but only one thing is certain—the markets will reward resilience and long-term conviction. **BT**

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MOUNTING LOSSES

• The 50-share index cracked 14% to 22,124 in five months till February 2025

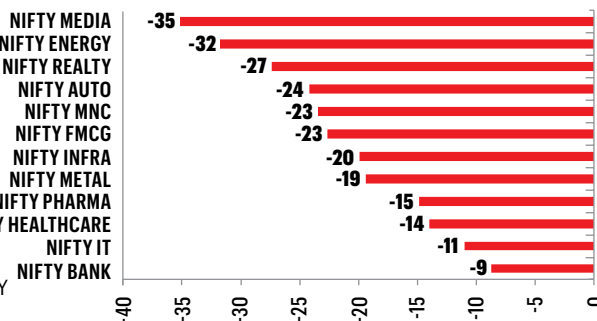
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FEAR FACTOR

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